Introduction to Management

Mid Term - Fall 2025 | BSCS - V
Institute of Space Technology, KICSIT Campus, Kahuta
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Question 1: Functions of Management by Henri Fayol (10 Marks)

Introduction

Henri Fayol (1841-1925) was a French mining engineer and the father of modern management theory. In his book *General and Industrial Management* (1916), he described management as a process made up of five core functions.

Fayol's Five Functions

1. **Planning:** Looking ahead and deciding what to do. It means setting objectives and choosing the actions, strategies and resources needed to achieve them. Fayol said, "To manage is to forecast and plan." Example: a software company plans to launch a new app within six months with a fixed budget.
2. **Organizing:** Building the structure of the organization. It includes dividing work, assigning duties, arranging material and human resources, and defining authority and responsibility. Example: forming teams for development, testing and marketing.
3. **Commanding (Directing/Leading):** Guiding and motivating employees to perform their tasks. The manager gives instructions, provides leadership, and maintains discipline and a good working atmosphere.
4. **Coordinating:** Harmonizing and linking all activities and departments so they work together toward common goals. It avoids conflict, duplication and wastage of effort. Example: the production department coordinates with sales so that products are made according to demand.
5. **Controlling:** Checking whether everything is happening according to the plan. Managers compare actual performance with standards, find deviations, and take corrective action.

(Note: Modern textbooks summarize these as Planning, Organizing, Leading and Controlling, where Commanding is called Leading and Coordinating is built into all functions.)

How These Functions Interrelate in Practice

- The functions are **not separate steps**. They form a continuous, interconnected cycle.
- **Planning is the base.** It gives objectives and standards, which organizing, leading and controlling then use.
- **Organizing** turns plans into reality by providing the structure and resources to carry them out.
- **Commanding** puts the organized people into action and motivates them.
- **Coordinating** keeps all efforts aligned during the whole process.
- **Controlling** measures results against the plan. Its findings feed back into **new planning**, which makes the cycle continuous.
- Managers perform several functions at the same time. For example, while controlling progress, a manager may also re-plan and re-organize.
- If one function is weak, the others suffer. Good plans fail without proper control, and good control is impossible without clear plans.

Conclusion

Fayol's functions give managers a complete framework to run an organization efficiently. Their real strength lies in working together as one integrated system.

Question 2: Boundary Spanning (5 Marks)

Definition

Boundary spanning refers to the activities and roles through which people in an organization connect with the **external environment**, such as customers, suppliers, competitors, government and other stakeholders. They collect information from outside, bring it inside, and represent the organization to outsiders. People who do this are called **boundary spanners**. Examples include sales staff, purchasing managers and public relations officers.

Importance

- It keeps the organization **connected** with changes in its environment.
- It helps **gather information** about market trends, competitors, technology and regulations.
- It **builds relationships** with outside groups and improves the organization's image.
- It helps the organization **adapt** to uncertainty and change, and so improves its survival and competitiveness.

How It Supports Managerial Decision-Making in Dynamic Environments

- Managers get **up-to-date and accurate information**, so decisions are based on facts and not guesses.
- It reduces **uncertainty**, because managers can foresee threats and opportunities early.
- It helps in **quick and flexible decisions**, which is vital when the environment changes fast.
- It supports **strategic decisions**, such as entering a new market, changing a product, or responding to a competitor.

Conclusion

Boundary spanning acts as a bridge between the organization and its environment, and it is essential for good decision-making in a dynamic world.

Question 3: Decision-Making Process and Role of Feedback (7.5 Marks)

Introduction

Decision-making is the process of choosing the best course of action from available alternatives to solve a problem or achieve a goal. It is a core managerial activity.

Steps in the Decision-Making Process

1. **Identify the problem:** Recognize that a problem or opportunity exists, meaning a gap between the current and desired situation. Example: sales are falling.
2. **Identify decision criteria:** Decide which factors are important, such as cost, time, quality and risk.
3. **Allocate weights to criteria:** Give priority or importance to each criterion, because not all are equally important.
4. **Develop alternatives:** List all possible solutions to the problem.
5. **Analyze alternatives:** Evaluate each alternative against the weighted criteria and examine its strengths and weaknesses.
6. **Select the best alternative:** Choose the option that scores highest and best solves the problem.
7. **Implement the decision:** Put the chosen alternative into action and communicate it clearly to the people involved.
8. **Evaluate decision effectiveness:** Check whether the decision solved the problem. If not, find out why and take corrective action.

How Feedback Improves Future Managerial Decisions

- Feedback shows **whether the decision achieved the desired results**.
- It helps managers **find mistakes and weaknesses** in the earlier decision or its implementation.
- Managers **learn from past experience**, so the same errors are not repeated.
- It allows **corrective action**, such as modifying or changing the decision in time.
- It improves **future criteria, alternatives and analysis** by providing better information.
- It increases managers' **confidence, accuracy and decision quality** over time.
- Feedback from employees, customers and performance reports also gives different viewpoints.

Conclusion

Decision-making is a systematic, step-by-step process. Feedback completes the loop, because it turns every decision into a learning experience and leads to better decisions in the future.

Question 4: Internal and External Environmental Forces (7.5 Marks)

Introduction

An organization does not work in isolation. Its performance is influenced by forces **inside** the organization (internal environment) and **outside** it (external environment). Managers must analyze both to make good plans and decisions.

A. Internal Environmental Forces

These are factors within the organization that managers can usually control.

1. **Organizational culture:** The shared values, beliefs and behaviors that shape how employees work.
2. **Organizational structure:** The hierarchy, departments and reporting relationships, which affect communication and decision speed.
3. **Human resources:** The skills, motivation and attitude of employees and managers.
4. **Financial resources:** The availability of funds and capital for operations and growth.
5. **Leadership and management style:** It affects morale, direction and performance.
6. **Technology and physical resources:** The equipment, systems and facilities the organization uses.
7. **Mission, vision and objectives:** They give direction to all activities.

B. External Environmental Forces

These are factors outside the organization that managers cannot control, but must respond to.

1. General (Macro) Environment

- **Economic:** inflation, interest rates, exchange rates, income levels, recession.
- **Political and legal:** government policies, taxes, laws and regulations, political stability.
- **Socio-cultural:** customs, lifestyles, values, education levels, consumer tastes.
- **Technological:** innovation, automation, AI and the internet.
- **Demographic:** population size, age, gender and migration.
- **Global/Natural:** international trade, globalization, climate and natural disasters.

2. Specific (Task) Environment

- **Customers:** their needs and demand.
- **Suppliers:** the cost and availability of raw materials.
- **Competitors:** their pricing and strategies.
- **Pressure groups and regulators:** consumer groups, unions and government agencies.

Analysis (How They Influence Organizations)

- **Internal forces determine strengths and weaknesses.** A skilled workforce and a strong culture help performance, while poor leadership or weak finances harm it.
- **External forces create opportunities and threats.** For example, new technology can create opportunities, while strong competition or new laws can create threats.
- Both are **interdependent**. An organization with strong internal capabilities can adapt better to external changes (a SWOT analysis combines the two).
- Changes in the external environment often require **internal changes**, such as restructuring or training.

Conclusion

Successful managers continuously analyze both environments, use their strengths, fix weaknesses, take advantage of opportunities and guard against threats.